

Appraisal Valuation Memo

Rivergate Innovation District - Synthetic Agir V5 Test Fixture 3 - Confidential Draft

Valuation Method

The appraisal uses a direct capitalization approach based on stabilized net operating income and comparable mixed-use transactions.

Assumption	Appraiser Conclusion
Terminal / exit cap rate	5.15%
Operating expense ratio	34.00% of EGI
Stabilized occupancy note	Residential 95%, retail 92%, office 90%

The appraisal conclusion should be reconciled against the sponsor's 4.90% exit cap and the lender's more conservative 5.40% underwritten exit cap.

The appraiser did not size the construction loan and did not provide the final equity commitment.